

FIELDSTATE OPTION B TERM SHEET

Exclusive Build and Investment Option

This term sheet is a non-binding discussion draft. It is not a legal agreement, not an offer of securities, and not legal advice. Any transaction should be documented by counsel.

Transaction

Investor receives a paid, time-limited exclusive option to invest in, acquire, or transfer Fieldstate into an agreed vehicle. Razim continues building during the option period and retains IP unless and until the option is exercised and the agreed transfer conditions are satisfied.

Indicative Terms

Table:

*** Item | Indicative Term**

Option fee | GBP 15k-25k, paid at signing; credit treatment to be agreed.
Option period | 60-90 days. Any extension requires written agreement and additional consideration.
Founder/operator retainer | Market basis GBP 10k-18k per month; offered at the discounted founder rate of GBP 6.4k per month while the staged founder economics in this option remain available.
Sprint/build fee | GBP 25k-50k, separate or rolled into milestone plan.
Exercise routes | NewCo formation, staged investment, commercial licence, IP acquisition, or founder-optics ramp.
Step-up pricing basis | Pre-agreed pricing formula set at option signing (for example, a multiple of cumulative funded capital, with an agreed floor), applied at each milestone step-up. Formula constants to be agreed with counsel.
IP transfer/buyout | GBP 250k-750k if exercised as acquisition/assignment.
Investor rights during option | Defined demo/pilot use only, unless otherwise agreed.

Staged Conversion Ramp

This option is designed to let Investor fund into a larger opportunity without requiring final ownership terms on day one. Ownership percentages at each step follow the pre-agreed pricing formula fixed at option signing, so neither party renegotiates price at any milestone; only the decision to fund the next step is open. The ramp below is indicative only. It requires definitive documents before any equity, warrant, SAFE conversion, licence, or IP transfer is effective.

Table:

*** Trigger | Investor Position | Razim Position | Notes**

Option signing | Paid exclusivity only | Razim retains IP | Investor receives first-right period and defined demo/pilot use.
MVP v2 accepted | Right to convert into NewCo, licence, or buyout route | Razim continues as delivery lead if funded | Conversion terms must be agreed before transfer.
First paid pilot or commercial validation | Investor may receive enhanced equity/warrant/SAFE terms | Founder economics remain protected by agreed floor | Intended to reward Investor for funding commercial proof.
Licensed data / advanced model budget funded | Investor may step up to larger ownership or preferred economics | Founder dilution or transfer mechanics must be pre-agreed | Advanced model/data risk is funded separately from MVP v2.
Platform/neural programme funded | Investor may negotiate majority path or acquisition route | Razim retains agreed residual equity, retainer, or buyout consideration | Majority, assignment, or buyout only under counsel-drafted documents.

Example Investor Upside Routes

Table:

*** Route | Description | When Used**

NewCo conversion | Option converts into a funded company structure with agreed cap table. | Investor wants company ownership rather than asset purchase.
Staged equity ramp | Investor starts with lower committed ownership and earns greater economics by funding milestones. | Investor wants visible upside while reducing day-one commitment.
Commercial licence | Investor funds build and receives defined pilot/commercial usage rights, without full IP transfer. | Investor wants customer testing before ownership decision.
IP buyout | Investor exercises acquisition/assignment route and pays agreed transfer price. | Investor wants asset control instead of founder-led company route.

Exclusivity

During the option period, Razim will not sell, assign, or exclusively license Fieldstate to a third party within the agreed field and territory. The restriction terminates automatically if the option expires, payments stop, or the parties fail to complete the agreed exercise mechanics.

IP Ownership and Transfer

- Razim owns Fieldstate IP during the option period.
- Investor receives only the rights expressly granted for demo or pilot use.
- IP transfers only after option exercise and full payment, escrow release, or agreed NewCo completion.
- No IP transfers to an individual where the intended structure is a company vehicle.
- Background tooling and generic methods are excluded unless expressly included by counsel-drafted language.

Milestones

Table:

* Milestone | Commercial Effect

Option fee paid | Exclusivity begins.

Retainer active | Razim performs agreed build and documentation work.

MVP v2 delivered | Investor may exercise selected route, trigger staged conversion, or extend option by agreement.

First paid pilot achieved | Investor may receive agreed step-up economics if included in definitive documents.

Advanced model/data funding approved | Investor may receive agreed additional upside tied to funding higher-risk model stages.

Option exercised | Parties complete NewCo, investment, licence, or assignment documents.

Option not exercised | Exclusivity ends and Razim retains all rights.

Conditions

- Written scope and acceptance criteria.
- Payment schedule and pause rights if payment is missed.
- Counsel review of option, licence, assignment, services, and escrow mechanics.
- Treatment of data, third-party dependencies, source access, and confidentiality.

Non-Binding Effect

This term sheet is for discussion only. No party is bound unless and until definitive agreements are signed.